

A TEACHER AND AN ATTORNEY: A CASE STUDY

Henry and Josh are brothers, but having the same parents does not mean that these two people are similar. Henry is forty-eight years of age; Josh is forty-six. Henry is a high school math teacher; Josh is an attorney and a partner in a modest-sized law firm.

The brothers are two of six children born to millionaires Berl and Susan, who accumulated their money by operating a successful contracting firm. The couple has always been generous with their children. Each year they have given Henry and Josh and their other son and daughters approximately \$10,000 in cash. This gift giving did not stop when their sons and daughters became adults. Berl and Susan felt that such gifts would help reduce the size of their estate and thus reduce the inheritance tax their children would have to pay someday.

Berl and Susan also wanted to help their adult children get a good start in life. They felt that financial gifts would help their children ultimately become financially independent. Berl and Susan were always democratic about distributing their wealth to their children. Each adult child received the same size cash gift each year. In addition, each child was given approximately the same amount of money to help purchase a first home.

One might expect that the children in such families would become financially independent. Certainly, Berl and Susan felt this way. They always assumed that they themselves would have been even more successful if they had attended college and subsequently received cash gifts from their parents. But their parents on both sides were poor. Berl and Susan were successful because their parents gave them something other than money. Each was the product of a disciplined home life. Berl and Susan were not only well disciplined; they also taught themselves how to deal with adversity, and adversity made them what they are today—successful millionaires. Tough times in the contracting business drive out the weak and unproductive. Berl and Susan were never weak of heart and always ran a highly productive, low-cost operation. This applied to both their business and their household.

Even today this couple has never owned a luxury automobile. They have never been on skis, never traveled abroad. Nor have they ever